A couple, Amaya and Greg, earn $200,000. They do not utilize tax-advantaged investment accounts, so they pay $30,493 in federal income tax. A visual is helpful to see how we get that number.

| Earned Income | Income Tax Rate | Income Tax Owed |
|---|---|---|
| $24,400 | 0% (Standard Deduction) | $0 |
| $19,400 | 10% | $1,940 |
| $59,550 | 12% | $7,146 |
| $89,450 | 22% | $19,679 |
| $7,200 | 24% | $1,728 |
| $200,000 (Total Income) | Effective Rate = 15.2% | $30,493 (Total tax due) |

The second thing to understand is that the high savings rate required to achieve FI allows flexibility for tax planning. This means you can defer taxes on a percentage of your income, enabling substantial tax savings in the year money is earned. Consider a simple math example of someone with a 22 percent marginal tax rate and $10,000 to invest. If you contribute $10,000 into your 401(k)*, you automatically save $2,200 on your federal tax bill in that year. The key is also to invest that $2,200 of “free money” to keep your savings snowball growing.

**Throughout this chapter, we use the term 401(k) to refer to work sponsored retirement accounts, because it is the most common option. You may work for an employer that provides a 403(b), Simple IRA, or be a federal employee with access to the Thrift Savings Plan.*